

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

TOYOTA DE PUERTO RICO CORP., *Complainant*

v.

PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.

DOCKET NO. 19-02

Served: November 13, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER LIFTING STAY AND REQUIRING BRIEFING

On January 3, 2020, an order was issued staying this proceeding until a decision was issued by the First Circuit in the related *Dantzler* case and requiring the parties to file a joint status report with proposed schedule within fifteen days of a decision being issued in the *Dantzler* case.

On May 1, 2020, the First Circuit issued a decision in the *Dantzler* case, finding that the plaintiffs failed to establish constitutional standing and that the Puerto Rico Port Authority was entitled to sovereign immunity in its performance of the inspection functions at issue in this proceeding. *Dantzler, Inc. v. Empresas Berrios Inventory & Operations, Inc.*, 958 F.3d 38, 50 (1st Cir. May 1, 2020). On May 29, 2020, a petition for rehearing was filed in the *Dantzler* case. On June 17, 2020, an order was issued staying this proceeding pending the issuance of a firm and final decision by the First Circuit in the related *Dantzler* case.

On September 2, 2020, the First Circuit denied the request for rehearing. On November 9, 2020, the parties filed a joint status report indicating that the “*Dantzler* Plaintiffs are pondering the possibility of filing for Certiorari Review.” Joint Status Report at 2. The parties failed to alert the undersigned to the denial of the petition for reconsideration in a timely fashion, have not requested a stay of this proceeding pending the petition for certiorari, and did not file a proposed schedule. However, the parties have conducted discovery in this proceeding and have thoroughly briefed the relevant issues both in the motion to dismiss and in the initial motion to stay.

The January 3, 2020, order denying PRPA’s motion to dismiss this proceeding addressed sovereign immunity, stating:

“The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities.” *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only “States and arms of the State possess immunity from suits authorized by federal law.” *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006). Although immunity extends to entities which are arms of the state, the Supreme Court has repeatedly refused to extend sovereign immunity to municipalities, even when such entities exercise a “slice of state power.” *Chatham County*, 547 U.S. at 193-94 (citations omitted); *see also Alden v. Maine*, 527 U.S. 706, 756 (1999) (sovereign immunity “does not extend to suits prosecuted against a municipal corporation or other governmental entity which is not an arm of the State.”).

The Supreme Court specifically has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party’s complaint against a state-run port. [*Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 747 (2002)]. Commission cases have addressed the Eleventh Amendment immunity of ports in South Carolina, Puerto Rico, and Maryland. In all three cases, the ports were ultimately found entitled to immunity. *South Carolina State Ports Auth.*, 535 U.S. at 743; *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008) (“*PRPA (D.C. Cir. 2008)*”); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 30 S.R.R. 358 (FMC 2004).

The issue of sovereign immunity, and specifically whether PRPA is an arm of the state, has been refined and evolving. While the D.C. Circuit in *PRPA (D.C. Cir. 2008)* found that the PRPA was entitled to immunity, the First Circuit distinguished *PRPA (D.C. Cir. 2008)* and found that PRPA was not entitled to sovereign immunity in *Grajales*. *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11, 30 (1st Cir. 2016). Another case involving the enhanced security fees at issue in this proceeding is currently on appeal to the First Circuit. *Dantzler, Inc. v. Puerto Rico Ports Auth.*, 335 F. Supp. 3d 226 (D.P.R. 2018).

Given the circuit split on this issue as well as the pending First Circuit appeal, it would be premature to resolve the issue at this point. It is clear that additional facts regarding the structure of the PRPA and the potential impact of any reparations awarded on Puerto Rico’s state finances will be relevant to the determination of this issue. At this point, it does not clearly appear that the case should be dismissed on sovereign immunity grounds.

Order Denying Puerto Rico Ports Authority’s Motion to Dismiss at 8-9.

Previously, there was a circuit split, with the in First Circuit in 2016 in *Grajales* finding that PRPA was not entitled to sovereign immunity while the D.C. Circuit in 2008 in *PRPA (D.C. Cir. 2008)* finding that PRPA was entitled to sovereign immunity. The First Circuit’s May 2020 decision in *Dantzler* appears to resolve the circuit split, at least in regard to the cargo scanning

program at issue in this proceeding. Although the First Circuit dismissed *Dantzler* based on constitutional standing requirements not at issue here, it specifically addressed the sovereign immunity issue, stating:

While our conclusion makes it unnecessary to reach PRPA's argument that it is entitled to sovereign immunity, we note that given the analytical framework set forth in *Grajales v. P.R. Ports Auth.*, 831 F.3d 11 (1st Cir. 2016), combined with the fact that the cargo scanning program was implemented to further the governmental purposes of improving national security and ensuring proper tax collection, we find it difficult to see how PRPA cannot be cloaked with sovereign immunity here in its performance of an inspection function that is governmental in nature. *See id.* at 20 n.9; *see also Thacker v. Tenn. Valley Auth.*, 139 S. Ct. 1435, 203 L. Ed. 2d 668 (2019). We view this, thus, as an alternative ground supporting our ultimate conclusion vacating and remanding the district court's order and partial judgment.

Dantzler, Inc., 958 F.3d at 19 n.6.

The January 3, 2020, order in this proceeding reviewed the four factors identified in *Virginia Petroleum Jobbers Ass'n v. Federal Power Comm'n*, 259 F.2d 921, 925 (D.C. Cir.1958), and stayed this proceeding because (1) "there is a likelihood that PRPA may prevail on the merits," (2) "PRPA makes a strong argument that it will be irreparably injured by being required to participate in this proceeding if it is found to be entitled to immunity," (3) "potential harm to Toyota as a result of staying this proceeding can be addressed in the damages award, if one is ultimately issued" and (4) "to the extent that PRPA supports the government of Puerto Rico and shipments into the Commonwealth, it is in the public interest for those activities to be conducted in the most cost effective manner" and "if PRPA is entitled to sovereign immunity, the benefit of that immunity would be lost by continuing to litigate the merits of this proceeding." Order on Complainant's Urgent Motion and Respondent's Motion to Stay at 5-6.

The June 17, 2020, order granted the joint request to continue the stay of the proceeding in light of the petition for reconsideration in *Dantzer*. The petition for reconsideration was denied. Obtaining Supreme Court review is always statistically unlikely and the likelihood of review is not increased where the underlying circuit split has been resolved by a First Circuit decision consistent with now-Justice Kavanaugh's *PRPA (D.C. Cir. 2008)* decision. This changed legal landscape is sufficient to lift the stay.

Recognizing the need to resolve this proceeding efficiently and in an effort to limit additional expenses for the parties, the undersigned reviewed the briefs previously filed by the parties as well as the relevant legal precedents. I am not inclined to delay, or stay, this proceeding any further given the current caselaw regarding sovereign immunity, at least in regard to the cargo scanning program. Therefore, this case will proceed and the parties will be permitted an opportunity to file briefs limited to supplementing their arguments regarding whether this proceeding should be dismissed on sovereign immunity grounds and raising any arguments regarding the May 2020 decision in *Dantzler*.

For the reasons stated above, it is hereby **ORDERED** that the stay be lifted. Toyota may file a brief by December 14, 2020. PRPA may file an opposition brief by January 15, 2021. Toyota may file a reply brief by January 25, 2021. Alternatively, pursuant to Commission Rule 72, the parties may resolve the proceeding, either by filing a motion requesting approval of a settlement with a copy of the settlement or by filing a stipulation of voluntary dismissal if there is no settlement and Toyota wishes to withdraw its claim.



Erin M. Wirth
Chief Administrative Law Judge